

Alphabet

NASDAQ : \$4348B mkt cap · 12.09B sh · \$126.8B cash, \$48.5B net debt · \$126.8B cash vs \$48.5B debt (~\$78.3B net cash); ~12.09B shares (Class A+B+C), buyback + a small dividend; Revenue \$402.8B FY25 (+15%); GAAP op margin 32.0%; FCF \$73.3B; capex ~\$91B and guided to ~\$190B in FY26; Up ~28% YTD and ~130-160% TTM to ~\$360 / ~\$4.35T cap; ATH close \$402.38 (May-2026), re-rated on owning the full AI stack

DCF

\$359.68

THE CENTRAL QUESTION

Does Alphabet's full AI stack (TPUs→Gemini→Cloud→apps) defend and monetize Search faster than generative-AI assistants erode its query and ad economics?

Alphabet trades at ~\$4.35T (~\$360, +28% YTD and ~130-160% TTM) - roughly 60x EV/FCF on \$402.8B revenue growing ~15%, 32% operating margins, net cash, \$73.3B FCF before a capex ramp to ~\$190B. Cloud just re-accelerated to +63% with a ~\$462B backlog and the AI stack re-rated the name, but Search is still ~60%+ of revenue and the price embeds the win. The DCF asks whether Search holds its economics through the generative-AI shift while Cloud compounds. The finding lands -21.4% (weighted ~\$286): the modal base sits right at spot, so the run priced in the franchise and then some.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$282.54 expected fair value today  
-21.4% vs spot \$359.68

FORWARD COMPOUNDED VALUE

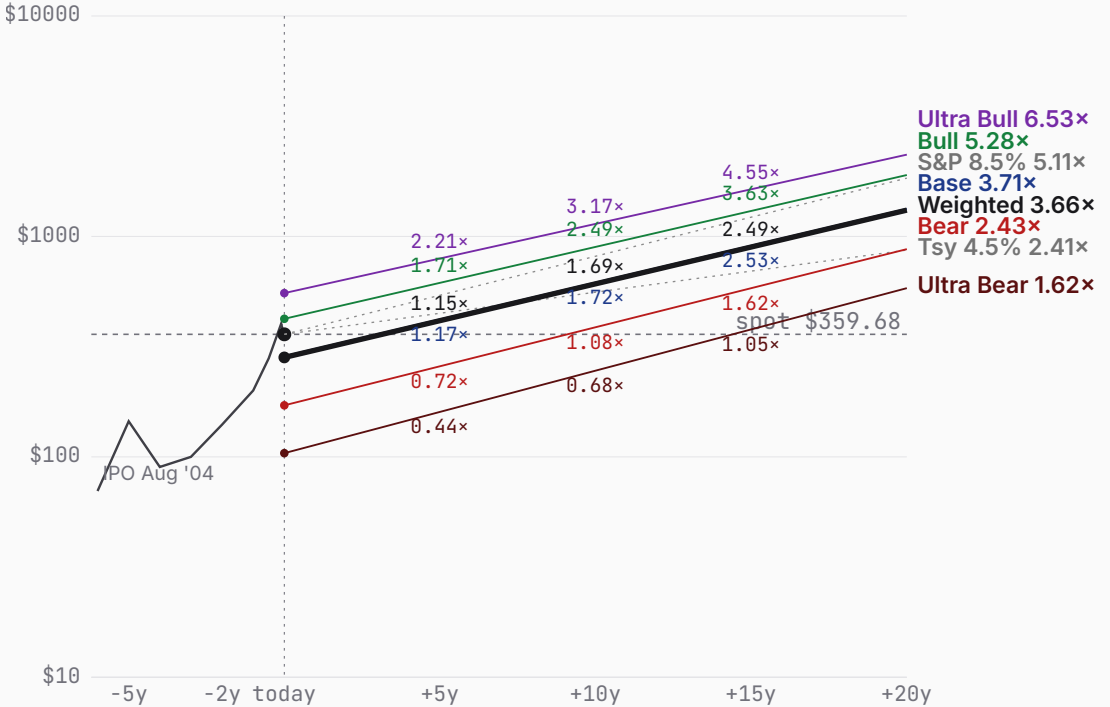
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$414.92   | \$609.49   | \$895.58   | \$1,316.37 |
| 1.15× spot | 1.69× spot | 2.49× spot | 3.66× spot |

WEIGHTING RATIONALE

- Ultra Bear 13% AI assistants erode Search economics; ~\$104 (-71%).
- Bear 25% Search slows; capex caps returns; ~\$171 (-52%).
- Base 34% Search defends; Cloud compounds; ~\$286 (-20%).
- Bull 20% AI stack compounds; Cloud re-rates; ~\$423 (+18%).
- Ultra Bull 8% Full-stack AI platform re-rates; ~\$553 (+54%).

Bull (20%) + Ultra Bull (8%) together contribute \$128.85 — 46% of the \$282.54 expected value despite 28% combined probability. Today's spot (\$359.68) sits 27% above the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                  | \$103.95       | BEAR                                        | \$171.32       | BASE                                          | \$286.32       | BULL                                          | \$422.99       | ULTRA BULL                                   | \$553.18       |
|---------------------------------------------|----------------|---------------------------------------------|----------------|-----------------------------------------------|----------------|-----------------------------------------------|----------------|----------------------------------------------|----------------|
|                                             | -71.1% vs spot |                                             | -52.4% vs spot |                                               | -20.4% vs spot |                                               | +17.6% vs spot |                                              | +53.8% vs spot |
| CAGR +4.8% WACC 9.0%<br>CAGR +4.8% Prob 13% |                | CAGR +9.6% WACC 8.5%<br>CAGR +9.6% Prob 25% |                | CAGR +13.4% WACC 8.0%<br>CAGR +13.4% Prob 34% |                | CAGR +16.2% WACC 7.8%<br>CAGR +16.2% Prob 20% |                | CAGR +18.7% WACC 7.5%<br>CAGR +18.7% Prob 8% |                |
| AI assistants gut Search economics.         |                | Search slows; capex caps returns.           |                | Search defends; Cloud compounds.              |                | AI stack compounds; Cloud re-rates.           |                | Full-stack AI platform; multiple re-rates.   |                |

PROBABILITY WEIGHTS

Ultra Bear 13% Bear 25% Base 34% Bull 20% Ultra Bull 8% · Weighted expected \$282.54 (-21.4% vs spot)

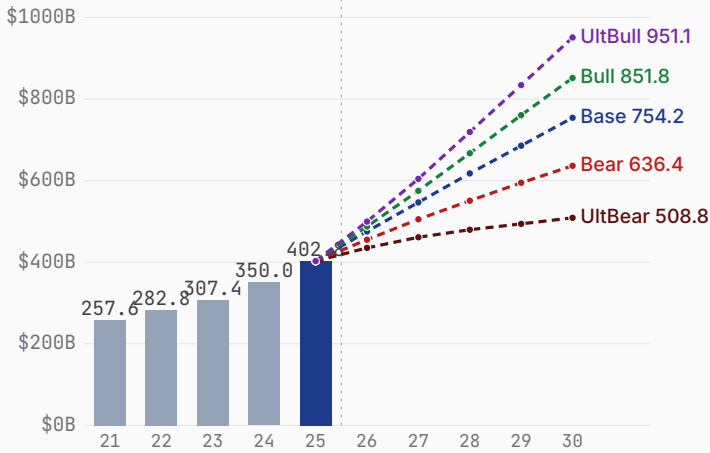
| ULTRA BEAR                                                                                                                                                                                                                                                                                                                                 | \$103.95       | BEAR                                                                                                                                                                                                                                                                                       | \$171.32       | BASE                                                                                                                                                                                                                                                                                                                                                         | \$286.32       | BULL                                                                                                                                                                                                                                                                                                          | \$422.99       | ULTRA BULL                                                                                                                                                                                                                                                                                 | \$553.18       |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|
|                                                                                                                                                                                                                                                                                                                                            | -71.1% vs spot |                                                                                                                                                                                                                                                                                            | -52.4% vs spot |                                                                                                                                                                                                                                                                                                                                                              | -20.4% vs spot |                                                                                                                                                                                                                                                                                                               | +17.6% vs spot |                                                                                                                                                                                                                                                                                            | +53.8% vs spot |
| Probability 13%                                                                                                                                                                                                                                                                                                                            |                | Probability 25%                                                                                                                                                                                                                                                                            |                | Probability 34%                                                                                                                                                                                                                                                                                                                                              |                | Probability 20%                                                                                                                                                                                                                                                                                               |                | Probability 8%                                                                                                                                                                                                                                                                             |                |
| AI assistants gut Search economics.                                                                                                                                                                                                                                                                                                        |                | Search slows; capex caps returns.                                                                                                                                                                                                                                                          |                | Search defends; Cloud compounds.                                                                                                                                                                                                                                                                                                                             |                | AI stack compounds; Cloud re-rates.                                                                                                                                                                                                                                                                           |                | Full-stack AI platform; multiple re-rates.                                                                                                                                                                                                                                                 |                |
| WHY 13%                                                                                                                                                                                                                                                                                                                                    |                | WHY 25%                                                                                                                                                                                                                                                                                    |                | WHY 34%                                                                                                                                                                                                                                                                                                                                                      |                | WHY 20%                                                                                                                                                                                                                                                                                                       |                | WHY 8%                                                                                                                                                                                                                                                                                     |                |
| The genuine bear: Search is ~60%+ of revenue, the capex commitment is now ~\$190B and 'significantly higher' in 2027, and chatbots are a live substitution threat. 13% weight on the AI shift impairing the core.                                                                                                                          |                | Search holds share but the shift compresses ad economics while ~\$190B capex weighs on returns - the plausible 'defends but de-rates' path. 25% given the antitrust overhang and the capex trajectory.                                                                                     |                | Requires Search to monetize AI at near-parity and Cloud to keep compounding while capex stays productive - consistent with Q1'26 (Search +19%, Cloud +63%, margin doubling). 34% as the central, near-spot outcome.                                                                                                                                          |                | Cloud's +63% and doubling margin plus a defended, AI-monetized Search make a genuine compounding case credible. 20% weight on the full AI stack delivering on both legs.                                                                                                                                      |                | Everything works - Search monetizes AI above parity AND Cloud compounds AND TPUs/Gemini/Waymo add value AND the multiple holds. ~8%, the long-duration tail.                                                                                                                               |                |
| WHAT HAPPENS                                                                                                                                                                                                                                                                                                                               |                | WHAT HAPPENS                                                                                                                                                                                                                                                                               |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                                                                 |                | WHAT HAPPENS                                                                                                                                                                                                                                                                                                  |                | WHAT HAPPENS                                                                                                                                                                                                                                                                               |                |
| Generative-AI assistants take real query share and lower ad load: Search growth stalls toward low-single-digit, AI Overviews monetize below legacy CPCs, and the ~\$190B capex ramp lands while revenue decelerates - so FCF margin sinks to ~15-17% off the ~18% base. Cloud keeps growing but can't offset a structurally impaired core. |                | Search defends volume but ad load and CPCs drift lower as queries route through AI surfaces, growth decelerates to high-single-digit, and the capex ramp holds FCF margin near 18-20% even as Cloud scales. The AI stack works but the blended economics are lower than the past decade's. |                | The modal path: Search defends and monetizes the AI transition at roughly parity (Q1'26's +19% argues defense is winning), Cloud keeps compounding off the ~\$462B backlog with expanding margins, and FCF margin recovers from the capex trough toward ~24% as the ~\$190B spend builds capacity that fills. Revenue compounds low-double-digit to ~\$680B. |                | The full stack pays off: TPUs lower the cost of serving Gemini, Cloud sustains hyper-growth and operating leverage off the backlog, AI Mode/Overviews lift Search monetization above legacy rates, and FCF margin climbs toward ~27% once the capex wave is absorbed. Revenue compounds mid-teens to ~\$730B. |                | Everything compounds: Gemini + AI Mode expand Search economics, Cloud becomes a durable second franchise at scale, Waymo and the model/TPU stack add optionality, and FCF margin reaches ~29% as the capex cycle turns into high-return capacity. Revenue compounds high-teens to ~\$790B. |                |
| A franchise whose primary cash engine is being disrupted earns a low-growth, ~16x terminal multiple → DCF ~\$104 (-71%). The net cash sets a floor but can't offset a Search that loses its economics while capex stays committed.                                                                                                         |                | DCF ~\$171 (-52%) - a still-dominant platform that grows slower and converts less of revenue to free cash flow at ~19x FCF is worth well below today's price; the post-run multiple already prices the win.                                                                                |                | DCF ~\$286 (-20%) - the modal case lands right at spot. A franchise growing low-double-digit at a recovering ~24% FCF margin and a ~23x multiple is worth about today's price; the 2026 run priced the franchise in, leaving little margin of safety at the modal outcome.                                                                                   |                | DCF ~\$423 (+18%) - if Search not only defends but Cloud + the AI stack compound into a second profit engine, the franchise is worth meaningfully above spot at a ~27x multiple; this is the bull the re-rating is paying for.                                                                                |                | DCF ~\$553 (+54%) - Alphabet re-rates as the broadest full-stack AI platform; ~8% probability, the asymmetric upside that owning chips through apps could deliver.                                                                                                                         |                |

Alphabet business snapshot

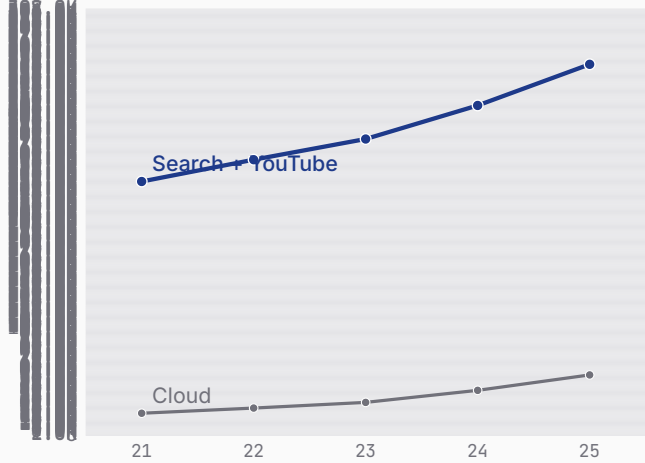
Bear \$171.32 Base \$286.32 Bull \$422.99

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 results

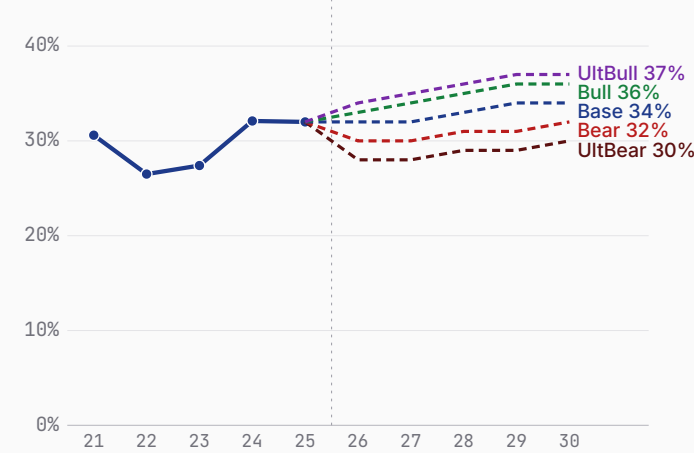
Revenue (\$B) — history + scenarios to FY30



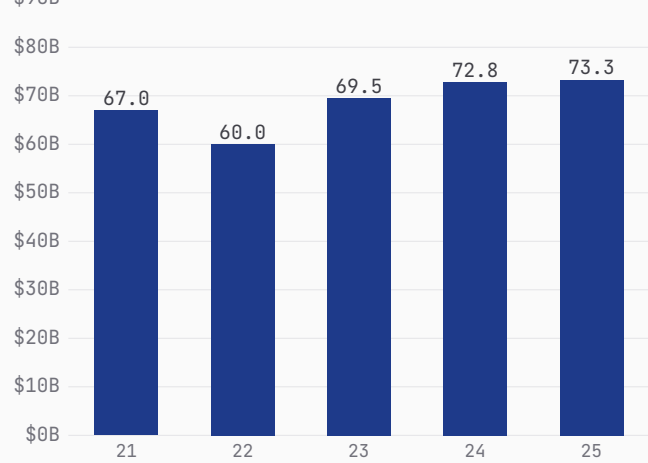
Revenue by segment (\$M)



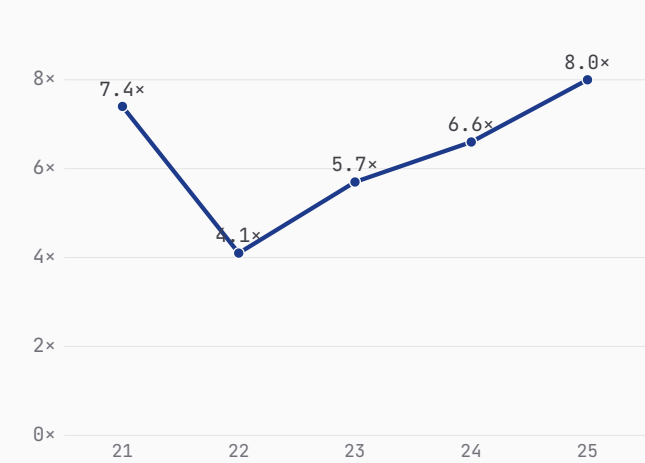
Op margin — history + scenarios



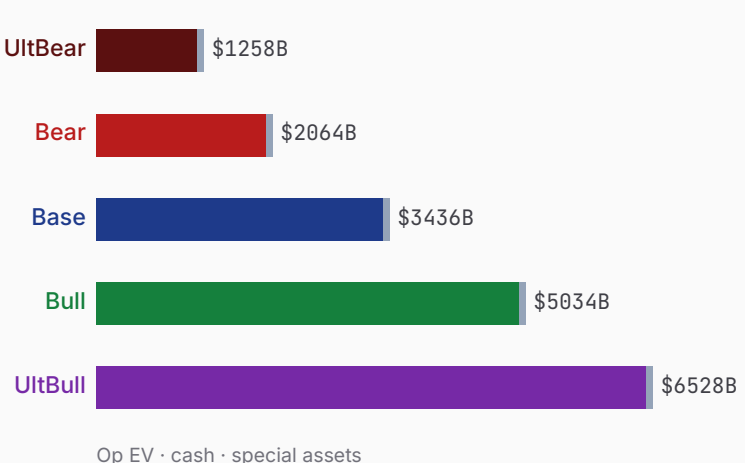
Free cash flow (\$B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1652044; revenue, GAAP operating income/margin, cash flow, debt), Alphabet Q1 2026 release (revenue \$109.9B/+22%, op margin 36.1%, Search & other +19% to \$60.4B, Cloud +63% to \$20.0B at 32.9% margin, backlog ~\$462B, FY26 capex guided ~\$190B). Revenue modeled as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales & EV/FCF vs mega-cap platform peers (MSFT/META/AMZN).



# Alphabet 7 Powers · the moat, scored

Bear \$171.32 Base \$286.32 Bull \$422.99

**Arena.** Search + digital advertising and cloud/AI infrastructure - Alphabet (Search, YouTube, Cloud, the TPU→Gemini→apps stack) vs Microsoft/OpenAI, Amazon, Meta, and chatbot challengers; auditing entrenched network/scale/cornered-resource Powers against a generative-AI substitution and a live antitrust threat.

**POWER AUDIT**  
dominant-power durability: high

POWER AUDIT · 7 POWERS

|                                                     |                                                                                                                                                                              |
|-----------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Scale Economies</b><br>■■■                       | Massive fixed-cost leverage across the index, ad systems, YouTube, and global data centers; 32% operating margin at \$403B revenue - few can match the spend per query.      |
| <b>Network Economies</b> · thesis leans here<br>■■■ | Search's two-sided advertiser/user loop, YouTube's creator/viewer flywheel, and Android/Play ecosystems - more users sharpen results and pricing, a genuine network Power.   |
| <b>Counter-Positioning</b><br>■■■                   | The incumbent now being counter-positioned by AI-native assistants (ChatGPT), not the disruptor; AI Overviews is a defensive retrofit, not counter-positioning.              |
| <b>Switching Costs</b><br>■■■                       | Workspace/Cloud contracts and the ~\$462B backlog lock enterprises in; consumer Search switching is low, but Android/Chrome/account defaults raise friction.                 |
| <b>Branding</b><br>■■■                              | 'Google' is a verb and a default trust signal, but brand alone won't hold queries if an assistant answers better - durable yet not the binding Power.                        |
| <b>Cornered Resource</b><br>■■■                     | The crawl index, decades of query/click data, custom TPUs, and frontier Gemini models - assets rivals cannot quickly replicate; the data + silicon edge is the deepest moat. |
| <b>Process Power</b><br>■■■                         | Deep ML/infra engineering capability, but increasingly a contested field rather than a unique repeatable process.                                                            |

PEER SET

|                                                                                                                                                 |                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------|
| <b>Microsoft / OpenAI</b><br>Azure + Copilot + OpenAI partnership attack both Cloud and Search via AI assistants; the primary full-stack rival. | 16% gr · 45% mgn · ~35x P/E    |
| <b>Amazon (AWS)</b><br>Cloud market leader; the EV/FCF and Cloud-growth benchmark Alphabet's Cloud is measured against.                         | 15% gr · 11% mgn · ~30x EV/FCF |
| <b>Meta Platforms</b><br>Ad-budget rival and AI-compute peer; competes for advertiser dollars and AI talent/capex.                              | 20% gr · 41% mgn · ~24x EV/FCF |
| <b>OpenAI / Anthropic</b><br>Frontier-model labs whose assistants are the direct generative-AI substitution threat to Search query volume.      | · private                      |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                                                                                        |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Network Economies</b> · ChatGPT / AI-native assistants<br><b>falsifier:</b> Search & other growth decelerates toward low-single-digit or query volume visibly leaks to chatbots, breaking the user/advertiser loop. |
| <b>Cornered Resource</b> · Frontier labs + merchant silicon (NVIDIA)<br><b>falsifier:</b> Rivals match Gemini quality and serving cost, eroding the data/TPU advantage as a differentiator.                            |
| <b>Scale Economies</b> · DOJ / ad-tech antitrust remedy<br><b>falsifier:</b> An adverse ad-tech ruling forces an AdX/DFP divestiture or default-distribution bans dent Search's scale and reach.                       |

COMPETITIVE READ

Alphabet's network and scale Powers are deeply entrenched - a two-sided Search/advertiser loop, YouTube's flywheel, and a cornered-resource stack (index, query data, custom TPUs, Gemini) few rivals can replicate. The Audit: network\_economies is durable (high); the live threats are generative-AI assistants substituting for ~60%+-of-revenue Search and an antitrust overhang (DOJ search appeal, a pending ad-tech divestiture) the DCF doesn't price. Q1'26 (Search +19%, Cloud +63%) says the defense is winning - but the ~28% YTD run re-rated the name to ~60x EV/FCF, so the modal case lands at spot: -21.4%, a durable franchise priced for the win.

Alphabet show your work

Bear \$171.32 Base \$286.32 Bull \$422.99 · Weighted \$282.54 (-21.4%)

| ULTRA BEAR                                |          |          |          |        | \$103.95   |          |          |          |        | BEAR                                      |          |          |            |         | \$171.32   |          |            |            |         | BASE                                      |            |            |            |         | \$286.32   |            |            |         |            | BULL                                      |            |            |         |         | \$422.99   |  |  |  |  | ULTRA BULL                                |  |  |  |  | \$553.18   |  |  |  |  |
|-------------------------------------------|----------|----------|----------|--------|------------|----------|----------|----------|--------|-------------------------------------------|----------|----------|------------|---------|------------|----------|------------|------------|---------|-------------------------------------------|------------|------------|------------|---------|------------|------------|------------|---------|------------|-------------------------------------------|------------|------------|---------|---------|------------|--|--|--|--|-------------------------------------------|--|--|--|--|------------|--|--|--|--|
| ASSUMPTIONS                               |          |          |          |        |            |          |          |          |        | ASSUMPTIONS                               |          |          |            |         |            |          |            |            |         | ASSUMPTIONS                               |            |            |            |         |            |            |            |         |            | ASSUMPTIONS                               |            |            |         |         |            |  |  |  |  | ASSUMPTIONS                               |  |  |  |  |            |  |  |  |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +4.8       |          |          |          |        | 5y revenue CAGR (%)                       |          |          |            |         | +9.6       |          |            |            |         | 5y revenue CAGR (%)                       |            |            |            |         | +13.4      |            |            |         |            | 5y revenue CAGR (%)                       |            |            |         |         | +16.2      |  |  |  |  | 5y revenue CAGR (%)                       |  |  |  |  | +18.7      |  |  |  |  |
| Year-5 op margin (%)                      |          |          |          |        | 30.0       |          |          |          |        | Year-5 op margin (%)                      |          |          |            |         | 32.0       |          |            |            |         | Year-5 op margin (%)                      |            |            |            |         | 34.0       |            |            |         |            | Year-5 op margin (%)                      |            |            |         |         | 36.0       |  |  |  |  | Year-5 op margin (%)                      |  |  |  |  | 37.0       |  |  |  |  |
| WACC (%)                                  |          |          |          |        | 9.0        |          |          |          |        | WACC (%)                                  |          |          |            |         | 8.5        |          |            |            |         | WACC (%)                                  |            |            |            |         | 8.0        |            |            |         |            | WACC (%)                                  |            |            |         |         | 7.8        |  |  |  |  | WACC (%)                                  |  |  |  |  | 7.5        |  |  |  |  |
| Terminal growth (%)                       |          |          |          |        | 2.5        |          |          |          |        | Terminal growth (%)                       |          |          |            |         | 3.0        |          |            |            |         | Terminal growth (%)                       |            |            |            |         | 3.5        |            |            |         |            | Terminal growth (%)                       |            |            |         |         | 4.0        |  |  |  |  | Terminal growth (%)                       |  |  |  |  | 4.0        |  |  |  |  |
| 5y revenue CAGR (%)                       |          |          |          |        | +4.8       |          |          |          |        | 5y revenue CAGR (%)                       |          |          |            |         | +9.6       |          |            |            |         | 5y revenue CAGR (%)                       |            |            |            |         | +13.4      |            |            |         |            | 5y revenue CAGR (%)                       |            |            |         |         | +16.2      |  |  |  |  | 5y revenue CAGR (%)                       |  |  |  |  | +18.7      |  |  |  |  |
| Starting revenue (\$B)                    |          |          |          |        | 402.80     |          |          |          |        | Starting revenue (\$B)                    |          |          |            |         | 402.80     |          |            |            |         | Starting revenue (\$B)                    |            |            |            |         | 402.80     |            |            |         |            | Starting revenue (\$B)                    |            |            |         |         | 402.80     |  |  |  |  | Starting revenue (\$B)                    |  |  |  |  | 402.80     |  |  |  |  |
| Scenario probability (%)                  |          |          |          |        | 13         |          |          |          |        | Scenario probability (%)                  |          |          |            |         | 25         |          |            |            |         | Scenario probability (%)                  |            |            |            |         | 34         |            |            |         |            | Scenario probability (%)                  |            |            |         |         | 20         |  |  |  |  | Scenario probability (%)                  |  |  |  |  | 8          |  |  |  |  |
| 5-YEAR DCF · \$B                          |          |          |          |        |            |          |          |          |        | 5-YEAR DCF · \$B                          |          |          |            |         |            |          |            |            |         | 5-YEAR DCF · \$B                          |            |            |            |         |            |            |            |         |            | 5-YEAR DCF · \$B                          |            |            |         |         |            |  |  |  |  | 5-YEAR DCF · \$B                          |  |  |  |  |            |  |  |  |  |
| FY                                        | Rev      | Margin   | FCF      | PV FCF | FY         | Rev      | Margin   | FCF      | PV FCF | FY                                        | Rev      | Margin   | FCF        | PV FCF  | FY         | Rev      | Margin     | FCF        | PV FCF  | FY                                        | Rev        | Margin     | FCF        | PV FCF  | FY         | Rev        | Margin     | FCF     | PV FCF     | FY                                        | Rev        | Margin     | FCF     | PV FCF  |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY26                                      | 435.02   | +28%     | +65.25   | +59.87 | FY26       | 455.16   | +30%     | +77.38   | +71.32 | FY26                                      | 475.30   | +32%     | +90.31     | +83.62  | FY26       | 487.39   | +33%       | +97.48     | +90.42  | FY26                                      | 499.47     | +34%       | +104.89    | +97.57  | FY26       | 511.56     | +35%       | +112.30 | +104.68    | FY26                                      | 523.65     | +36%       | +120.11 | +112.47 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY27                                      | 461.13   | +28%     | +69.17   | +58.22 | FY27       | 505.23   | +30%     | +90.94   | +77.25 | FY27                                      | 546.60   | +32%     | +109.32    | +93.72  | FY27       | 575.12   | +34%       | +126.53    | +108.88 | FY27                                      | 604.36     | +35%       | +145.05    | +125.51 | FY27       | 633.59     | +36%       | +163.46 | +127.81    | FY27                                      | 662.83     | +37%       | +181.87 | +146.04 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY28                                      | 479.57   | +29%     | +76.73   | +59.25 | FY28       | 550.70   | +31%     | +104.63  | +81.92 | FY28                                      | 617.66   | +33%     | +135.88    | +107.87 | FY28       | 667.14   | +35%       | +160.11    | +127.81 | FY28                                      | 719.19     | +36%       | +186.99    | +150.52 | FY28       | 771.24     | +37%       | +212.90 | +152.81    | FY28                                      | 823.29     | +38%       | +238.81 | +175.54 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY29                                      | 493.96   | +29%     | +83.97   | +59.49 | FY29       | 594.76   | +31%     | +118.95  | +85.83 | FY29                                      | 685.60   | +34%     | +157.69    | +115.91 | FY29       | 760.54   | +36%       | +197.74    | +146.43 | FY29                                      | 834.26     | +37%       | +233.59    | +174.91 | FY29       | 908.98     | +38%       | +269.50 | +177.10    | FY29                                      | 983.70     | +39%       | +305.41 | +200.83 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| FY30                                      | 508.78   | +30%     | +86.49   | +56.21 | FY30       | 636.39   | +32%     | +127.28  | +84.65 | FY30                                      | 754.16   | +34%     | +181.00    | +123.18 | FY30       | 851.80   | +36%       | +229.99    | +157.98 | FY30                                      | 951.06     | +37%       | +275.81    | +192.12 | FY30       | 1050.32    | +38%       | +321.72 | +194.29    | FY30                                      | 1149.58    | +39%       | +367.63 | +221.01 |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| Σ PV explicit FCF                         |          |          |          |        | +293.04    |          |          |          |        | Σ PV explicit FCF                         |          |          |            |         | +400.96    |          |            |            |         | Σ PV explicit FCF                         |            |            |            |         | +524.30    |            |            |         |            | Σ PV explicit FCF                         |            |            |         |         | +631.52    |  |  |  |  | Σ PV explicit FCF                         |  |  |  |  | +740.63    |  |  |  |  |
| + PV terminal (g 2.5%)                    |          |          |          |        | 886.45     |          |          |          |        | + PV terminal (g 3.0%)                    |          |          |            |         | 1585.18    |          |            |            |         | + PV terminal (g 3.5%)                    |            |            |            |         | 2833.24    |            |            |         |            | + PV terminal (g 4.0%)                    |            |            |         |         | 4323.72    |  |  |  |  | + PV terminal (g 4.0%)                    |  |  |  |  | 5708.58    |  |  |  |  |
| EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |            |          |          |          |        | EQUITY BUILD · \$B & PER SHARE            |          |          |            |         |            |          |            |            |         | EQUITY BUILD · \$B & PER SHARE            |            |            |            |         |            |            |            |         |            | EQUITY BUILD · \$B & PER SHARE            |            |            |         |         |            |  |  |  |  | EQUITY BUILD · \$B & PER SHARE            |  |  |  |  |            |  |  |  |  |
| Operating EV                              |          |          |          |        | \$1179.49B |          |          |          |        | Operating EV                              |          |          |            |         | \$1986.14B |          |            |            |         | Operating EV                              |            |            |            |         | \$3357.54B |            |            |         |            | Operating EV                              |            |            |         |         | \$4955.24B |  |  |  |  | Operating EV                              |  |  |  |  | \$6449.21B |  |  |  |  |
| + Cash & investments                      |          |          |          |        | \$126.80B  |          |          |          |        | + Cash & investments                      |          |          |            |         | \$126.80B  |          |            |            |         | + Cash & investments                      |            |            |            |         | \$126.80B  |            |            |         |            | + Cash & investments                      |            |            |         |         | \$126.80B  |  |  |  |  | + Cash & investments                      |  |  |  |  | \$126.80B  |  |  |  |  |
| – Net debt                                |          |          |          |        | \$48.50B   |          |          |          |        | – Net debt                                |          |          |            |         | \$48.50B   |          |            |            |         | – Net debt                                |            |            |            |         | \$48.50B   |            |            |         |            | – Net debt                                |            |            |         |         | \$48.50B   |  |  |  |  | – Net debt                                |  |  |  |  | \$48.50B   |  |  |  |  |
| = Equity value                            |          |          |          |        | \$1257.79B |          |          |          |        | = Equity value                            |          |          |            |         | \$2064.44B |          |            |            |         | = Equity value                            |            |            |            |         | \$3435.84B |            |            |         |            | = Equity value                            |            |            |         |         | \$5033.54B |  |  |  |  | = Equity value                            |  |  |  |  | \$6527.51B |  |  |  |  |
| FY30 shares (M)                           |          |          |          |        | 12,100     |          |          |          |        | FY30 shares (M)                           |          |          |            |         | 12,050     |          |            |            |         | FY30 shares (M)                           |            |            |            |         | 12,000     |            |            |         |            | FY30 shares (M)                           |            |            |         |         | 11,900     |  |  |  |  | FY30 shares (M)                           |  |  |  |  | 11,800     |  |  |  |  |
| = Expected per share                      |          |          |          |        | \$103.95   |          |          |          |        | = Expected per share                      |          |          |            |         | \$171.32   |          |            |            |         | = Expected per share                      |            |            |            |         | \$286.32   |            |            |         |            | = Expected per share                      |            |            |         |         | \$422.99   |  |  |  |  | = Expected per share                      |  |  |  |  | \$553.18   |  |  |  |  |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |            |          |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |            |         |            |          |            |            |         | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |            |            |            |         |            |            |            |         |            | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |            |            |         |         |            |  |  |  |  | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |  |  |  |  |            |  |  |  |  |
| +5y                                       | +10y     | +15y     | +20y     |        | +5y        | +10y     | +15y     | +20y     |        | +5y                                       | +10y     | +15y     | +20y       |         | +5y        | +10y     | +15y       | +20y       |         | +5y                                       | +10y       | +15y       | +20y       |         | +5y        | +10y       | +15y       | +20y    |            | +5y                                       | +10y       | +15y       | +20y    |         |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| \$159.94                                  | \$246.09 | \$378.64 | \$582.58 |        | \$257.61   | \$387.35 | \$582.44 | \$875.80 |        | \$420.70                                  | \$618.14 | \$908.26 | \$1,334.53 |         | \$615.78   | \$896.43 | \$1,305.00 | \$1,899.79 |         | \$794.16                                  | \$1,140.12 | \$1,636.79 | \$2,349.83 |         | \$1,140.12 | \$1,636.79 | \$2,349.83 |         | \$1,636.79 | \$2,349.83                                | \$3,140.12 | \$4,349.83 |         |         |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |
| 0.44×                                     | 0.68×    | 1.05×    | 1.62×    |        | 0.72×      | 1.08×    | 1.62×    | 2.43×    |        | 1.17×                                     | 1.72×    | 2.53×    | 3.71×      |         | 1.71×      | 2.49×    | 3.63×      | 5.28×      |         | 2.21×                                     | 3.17×      | 4.55×      | 6.53×      |         | 3.17×      | 4.55×      | 6.53×      |         | 4.55×      | 6.53×                                     | 9.55×      | 13.53×     |         |         |            |  |  |  |  |                                           |  |  |  |  |            |  |  |  |  |

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Bear \$171.32 Base \$286.32 Bull \$422.99

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**The run priced the franchise in.**  
After +28% YTD / ~130-160% TTM the name is ~60x EV/FCF and the modal DCF is ~-20% - the AI stack is real, but the price already embeds the win, leaving thin margin of safety.
- 2

**Cloud at +63% with doubling margins is the new engine.**  
Cloud hit \$20.0B/+63% at 32.9% operating margin (from 17.8%) with a ~\$462B backlog ~2x QoQ - a credible second franchise that the bull/ultra-bull cases lean on.
- 3

**Search defense is winning so far.**  
Q1'26 Search & other still grew +19% to \$60.4B with AI Overviews at 2.5B MAU monetizing near parity - the central bear (query/CPC leakage) is not yet visible in the numbers.
- 4

**The ~\$190B capex is the FCF swing.**  
Capex guided to ~\$190B FY26 and higher in 2027 crushes near-term FCF; the bull needs it to convert to high-return capacity.
- 5

**Antitrust is the unpriced tail.**  
The DOJ search remedy (default bans + data-sharing, on appeal) and a pending ad-tech remedy (possible AdX/DFP divestiture) sit outside the DCF.

FALSIFICATION TRIGGERS

Bull validation

Cloud growth holds >40% with margin above 30% · Search & other stays >+15% as AI Overviews/AI Mode monetize · FCF margin recovers above ~22% as capex is absorbed · backlog keeps building

Bear validation

Search & other decelerates toward low-single-digit or CPCs fall · FCF margin stays below ~18% as ~\$190B+ capex outruns cash · Cloud growth/margin rolls over · an adverse ad-tech (AdX/DFP) divestiture remedy

Reframe needed

if generative-AI assistants take durable query share and ad load drops, the ~60%-of-revenue Search engine loses its economics - re-rate the terminal toward a slower-growth, lower-FCF-margin platform

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Search & other** — Alphabet's core search-advertising revenue (~\$60.4B in Q1'26, ~60%+ of total); the swing-factor segment the generative-AI shift threatens.

**Google Cloud** — The cloud-infrastructure + Workspace segment (\$20.0B/+63% in Q1'26 at ~33% operating margin, ~\$462B backlog) - the second engine.

**AI Overviews / AI Mode** — Gemini-powered answers atop Search (2.5B / 1B MAU) monetizing roughly at Search-parity - how Google defends ad economics through the AI transition.

**TPU** — Tensor Processing Unit - Google's custom AI accelerator; serves Gemini and Cloud AI below merchant-silicon cost.

**FCF margin** — Free cash flow / revenue (~18% FY25, depressed by the capex ramp); whether ~\$190B capex converts to ~24% recovery.